Saturday, October 31, 2026 · Vol. I · No. 25 · DRAM · NAND · HBM · Tel Aviv edition · Data as of ~08:30 IST · US: Friday closes · Korea/Tokyo: Friday closes (15:30 KST/JST)

The Memory Cycle Journal

SOX (Fri close)
10,688.80 −7.20% · MU $884.74 (−5.30%) · SNDK $1,150.89 (−13.47%) · INTC $65.76 (−28.58%) · KOSPI (Fri) 5,730.74 (−3.48%)

DDR5 16Gb SPOT (FRI)
$61.50 +0.27% · TrendForce Oct 30 close · DDR4 16Gb $82.80 (−0.15%) · DDR4 8Gb $46.86 (flat)

LEAD STORY

EARNINGS · KIOXIA · NAND

Kioxia Says NAND Price Gains Are Slowing, Guides Far Below Forecasts

The flash maker sees next-quarter sales up just 1% after a 40% jump, and its finance chief said he is unsure how NAND prices will move next year. Capacity for 2027 is sold out, but memory stocks fell hard on Friday as Intel's PC warning compounded the worry.

By the Memory Cycle Desk · Tel Aviv · ~08:30 IST Saturday (UTC+2) · US, Korea and Japan Friday closes · CONFIRMED unless marked

KEY NUMBERS · FRIDAY CLOSES

MEMORY

Micron	**$884.74 (−5.30%)**
Sandisk / WDC / Seagate	**−13.47% / −7.41% / −7.98%**
SK hynix	**₩1,418,000 (−7.08%)**
Samsung	**₩225,000 (−3.02%)**
Kioxia (close, before results)	**¥13,470 (−7.14%)**
SOX / Intel	**−7.20% / −28.58%**

KIOXIA JULY–SEPT AND GUIDE

Revenue (q/q)	**¥2.48T (+40%)**
Adj. operating profit (margin)	**¥1.99T (~80%)**
Oct–Dec revenue guide	**¥2.5T (+1% q/q)**
Consensus revenue growth	**+16% q/q**
Oct–Dec op. profit: guide / est.	**¥2.0T / ~¥2.35T**
US 10-year / WTI	**4.929% / $104.12**

What this shows: Kioxia's results matched forecasts, but its guide implies almost no growth next quarter. Memory and chip-equipment stocks fell on Friday along with Intel. Kioxia reported after the Tokyo close; Jefferies said the shares were about 9% lower in after-hours trading. Sources: Kioxia via Bloomberg Law, Investing.com and the call transcript; consensus growth from Jefferies; prices from Yahoo Finance; spot prices from TrendForce.

Kioxia's July–September revenue rose 40% to ¥2.48 trillion, and adjusted operating profit of ¥1.99 trillion (about an 80% margin) was in line. But it guided October–December revenue up just 1%, to about ¥2.5 trillion, when analysts expected about 16%, and operating profit to ¥2.0 trillion against about ¥2.35 trillion (Bloomberg Law, Investing.com). Bits will be flat and prices up only by a low-single-digit percentage, after rises in the mid-20s last quarter and about 70% the quarter before (call transcript). Kioxia blamed the yen, a mix shift to cheaper QLC drives and a large customer's pricing, and its finance chief said he was "unsure" how NAND prices would move next year (Bloomberg Law, Jefferies).

Demand is not the issue: 2027 capacity is sold out, long-term deals cover more than half of 2028 bits, and Kioxia sees NAND bit demand up in the low 20s in 2027, with the shortage lasting through 2027. It will return all excess cash and declared a first interim dividend of ¥90 (Reuters Japan).

Our call: unchanged overall; volumes are booked into 2028, but NAND price momentum is now clearly fading. CYCLE SIGNAL: PRICE GROWTH NEAR FLAT

MARKETS · SELLOFF

Memory Stocks Slide as Intel and Kioxia Revive Fears of a Peak

The SOX semiconductor index fell 7.2% on Friday. Intel lost 28.6% after warning that memory costs are shrinking the PC market (MarketWatch), Sandisk fell 13.5% despite raising its guidance (Investing.com), Micron fell 5.3% (Motley Fool), and Western Digital and Seagate fell 7–8% (24/7 Wall St). Samsung and SK hynix are down about 40% and more than 50% from their June peaks, at about three times earnings, despite record profits (Herald Business).

PRICES · PC DRAM

PC DRAM Contract Prices Still Rising, but Gains Narrow to 13–18%

TrendForce expects fourth-quarter PC DRAM contract prices to rise 13–18% from the prior quarter, down from 18–23% in the third. Notebook shipments are falling, by an estimated 14% in the third quarter and 9% in the fourth, and PC makers' DRAM inventory has risen to 7–10 weeks from 6–9. Most talks finish in November, with a small further rise expected (eDaily, RPRNA). DDR5 spot prices stayed firm at $61.50.

SUPPLY · CHINA AND EQUIPMENT

CXMT Earns an 89.5% Gross Margin as Tool Makers Raise Their 2027 Outlook

China's CXMT said third-quarter revenue rose 613% from a year earlier to 118.7 billion yuan, with net profit of 54.4 billion yuan and a gross margin of 89.53% (MarketScreener). Reports that it will start limited HBM3E output within two months are UNCONFIRMED (BigGo Finance). Tokyo Electron raised its chip-equipment market forecast to about $160 billion this year and more than $210 billion in 2027, from $150 billion and $190 billion (Investing.com). More tools in 2027 mean more memory supply in 2028, although Jefferies says SK hynix and Samsung are building fab shells first and timing tool move-in to demand.

FROM THE INBOX · SINCE OCT 30, 08:15 IST

NEW **Kioxia: the price question.** Jefferies says the yen, mix and Apple pricing explain part of the miss; the bigger worry is the finance chief's doubt about NAND price growth next year. It raised its Sandisk fiscal 2027 EPS estimate 24%. Jefferies Asia TMT sales

NEW **Intel: PC slump runs into 2027.** PC units down more than 20% in 2H26 and about 10% in 2027 on memory shortages; Intel is "not optimistic about next year" on memory. BofA cut Intel to Neutral. Jefferies, BofA via semis digest

NEW **"Demand is not the question, funding is."** Cantor sees the first signs of slower volume growth in memory and storage, and cites a WSJ column: memory stocks have risen about 2.5 times as much as cash-flow forecasts through fiscal 2028. Cantor specialist sales

ON X · SINCE LAST EDITION · IST

@jukan05 · Oct 30 09:52
TrendForce: PC DRAM contract prices +13–18% in Q4; Korean suppliers to cut PC DRAM shipments by more than 20% in 2027.
x.com/…/2116075768539439227

@SKundojjala · Oct 30 14:37
Kioxia: 2027 capacity sold out; long-term deals cover more than 50% of 2028 bits.
x.com/…/2116147578815598969

@jukan05 · Oct 31 04:09 UNCONFIRMED
The Elec: Terafab working with Samsung, Intel and TSMC; Micron declined; SK hynix expected to join.
x.com/…/2116351827772051897

@HyperTechInvest · Oct 30 12:49 OPINION
Kioxia's +1% guide is "not as bad as it sounds": yen, QLC mix and a decision not to push data-center price hikes too hard.
x.com/…/2116120354682994843

@pequityresearch · Oct 31 02:19
Citi: market underestimates DRAM/HBM supply limits; tight through 2027–28; new nodes add only ~25% density vs 30–40% before.
x.com/…/2116324034254143927

CYCLE TRACKER · UNCHANGED: BOOKED INTO 2028, BUT PRICE MOMENTUM FADING

GAUGE	TODAY VS OCT 30 (KPI WATCH LIST)	NUDGE
Contract ROC	Kioxia guides NAND ASP up low-single digits (from mid-20s); PC DRAM +13–18% vs +18–23%; DDR5 spot firm at $61.50	**Slowing sharply**
LTAs / lead times	Kioxia 2027 sold out, LTAs cover more than half of 2028 bits; Citi says supply limits are underestimated	**Long, steady**
Guide vs consensus	Kioxia +1% vs +16% consensus; margin guide flat at ~80%	**Red for NAND**
Capex / new supply	TEL 2027 WFE above $210B (from $190B); CXMT 89.5% gross margin	**Supply response building**
Demand / de-spec	Notebooks −14% in 3Q, −9% in 4Q; PC DRAM inventory 7–10 weeks (from 6–9)	**AI up, PCs down**

VERDICT VS PREVIOUS CALL (NO. 24, OCT 30)
Late upcycle; tight through 2027 and booked into 2028. Unchanged overall, but looser at the edges for a second day: Kioxia sees NAND prices nearly flat next quarter, PC DRAM contract gains are narrowing as PC inventory builds, and the supply response is gathering (TEL 2027 WFE above $210B, CXMT at an 89.5% margin). Holding it: 2027 is sold out at Kioxia, more than half of 2028 is under contract, DDR5 spot is firm, and Citi says supply is tighter than the market thinks. Playbook: a flat margin guide plus slowing price growth is a late-cycle amber light, not a bust signal.

EVENTS CALENDAR · NOV 1–14 · ISRAEL TIME (IST, UTC+2)

Sun Nov 1	Korea October exports (~02:00) · US clocks go back	Trade
Mon–Tue Nov 2–3	Apple FQ4 (00:00 Nov 3) · US midterms Nov 3 · AMD, Supermicro (00:00 Nov 4)	Demand
Wed Nov 4	Qualcomm, Arm after the US close	Phones
Fri Nov 6	US payrolls 15:30 · Micron Taoyuan union, third round (tentative)	Macro
Mon Nov 9	Sandisk split record date (8-for-1; split-adjusted trading from Nov 20)	NAND
Tue Nov 10	TSMC and Taiwan October sales · US CPI 15:30 · CoreWeave	AI

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #25 · Oct 31, 2026